EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for RA 7160, known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax.
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

A financial and compliance audit was conducted on the accounts and operations of the Municipality of Sta. Teresita for the period ended December 31, 2016. The audit was aimed at ascertaining the propriety of disbursement, the adequacy of accounting books and records and the reliability of financial reports. Likewise, the audit was conducted to identify the practices that require compliance with laws, rules and regulations for the purpose of recommending measures to correct them.

2. Financial Highlights

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2016, were P98,634,067.52, P28,159,845.19 and P70,474,222.33, with an increase of 18.47%, 7.95% and 23.27%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P80,404,905.07 and P67,031,539.93 which increased by 10.08% and decrease by 2.69%, respectively from last year's figures.

			Increase(Decrease)	
	2016	**2015**	**Amount**	**Percentage**
Financial Position				
Assets	98,634,067.52	83,256,859.42	15,377,208.10	18.47%
Liabilities	28,159,845.19	26,087,054.73	2,072,790.46	7.95%
Govt. Equity	70,474,222.33	57,169,804.69	13,304,417.64	23.27%
Financial Performance				
Income	80,404,905.07	73,043,520.33	7,361,384.74	10.08%
Expense	67,031,539.93	68,882,442.24	(1,850,902.31)	(2.69%)
Appropriations, Allotments and Obligation				
Appropriations	90,531,606.65	88,681,362.27	1,850,244.38	2.09%
Allotments	90,531,619.15	88,681,362.27	1,850,256.88	2.09%
Obligations	63,634,266.95	65,286,637.20	(1,652,370.25)	(2.53%)

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the financial statements because of the inappropriate charging of expenditures against the 20% Development Fund, hence accuracy of financial records could not be determined, thus affecting the fair presentation of the accounts in the financial statements.

4. Summary of Significant Observations and Recommendations

a. Expenditures amounting to ₱1,860,694.25 were inappropriately charged against the 20% Development Fund contrary to DILG-DBM Joint Memorandum Circular 2011-1, hence, defeating the purpose for which the fund was created.

We recommended that management maximize the utilization of the 20% Development Fund in accordance with DILG-DBM Joint Memorandum Circular No. 2011-1 and optimally utilize the said fund to help achieve and deliver desirable socio-economic and environmental development and sustainability.

Ensure that only authorize expenses are charged against the 20% Development Fund.

We further recommended that management fast tract the implementation of all on – going and not yet started programmed and funded projects under the 20% Development Fund to optimize utilization thereof and timely brings the desired benefits to the intended beneficiaries.

b. The Municipality was not able to completely implement and deliver ten (10) out of twenty five (25) identified programs, projects and activities (PPAs) under the 20% development fund thus depriving the intended beneficiaries of the timely utilization thereof, and the non-realization of socio – economic benefits as perceived under the fund.

We recommended that management fast tract the implementation of all on – going and not yet started projects under the 20% Development Fund to optimize utilization thereof and the realization of desired benefits to the intended beneficiaries.

5. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
Disallowances					
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%
	-	-	-	-	
Charges	-	-	-	-	
Prior Years	-	-	-	-	0%
Current Years	-	-	-	-	0%
Total	-	-	-	-	0%

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the four (4) audit recommendations of last year's report, four (4) or all were fully implemented as of year- end.